

How 3,000 borrowers became a financial product

How large is the lending



EXTRAORDINARY

BORROWER

3K

PORTFOLIO

\$597.63M

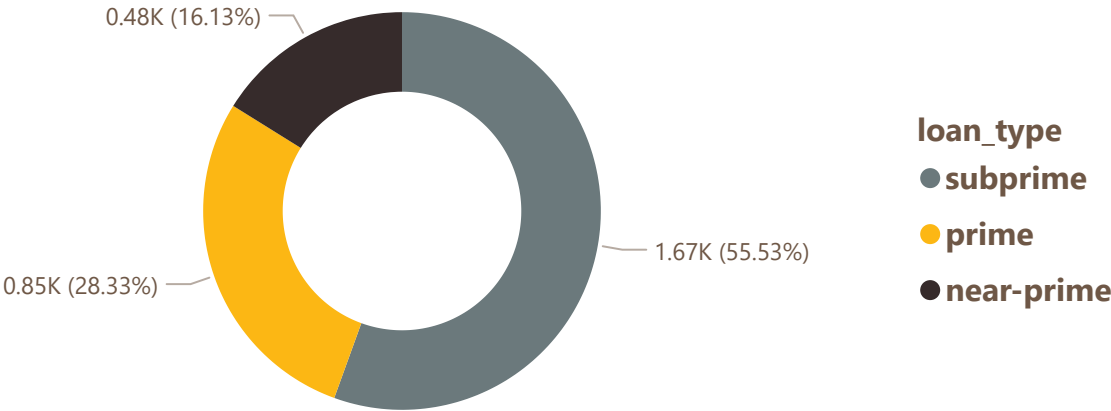
PROFIT

\$481.33M

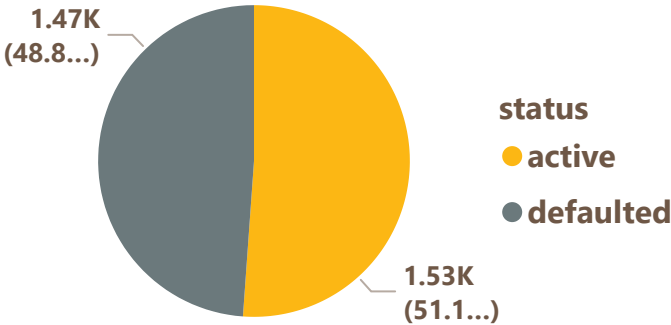
AVERAGE CREDITSCORE VALUE

576.33

Count of status by loan_type



LOAN STATUS DISTRIBUTION



employment_status

employed

self-employed

unemployed

payment amount by payment date

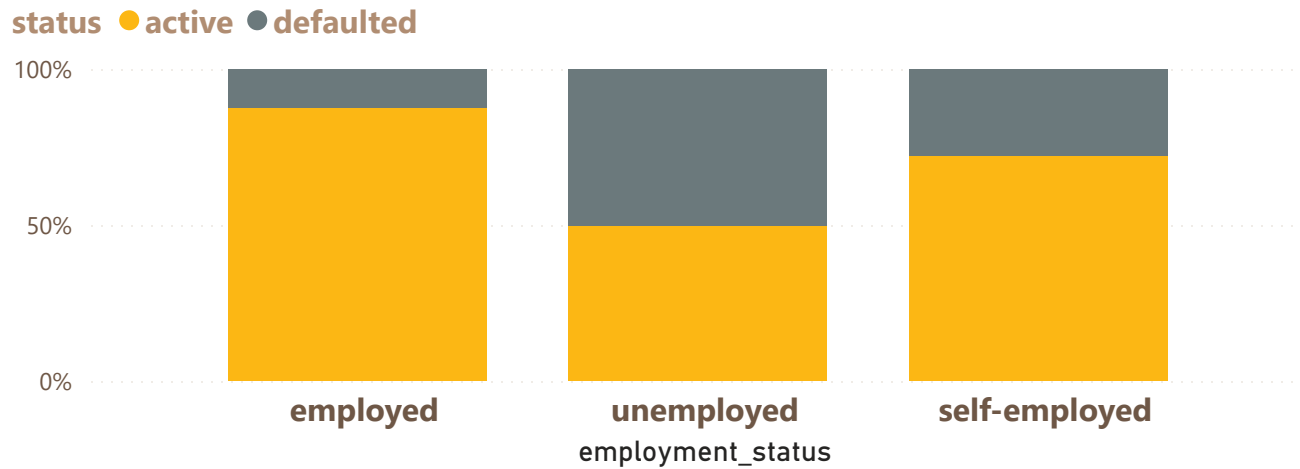
\$14.6K

Average of credit score by loan_type

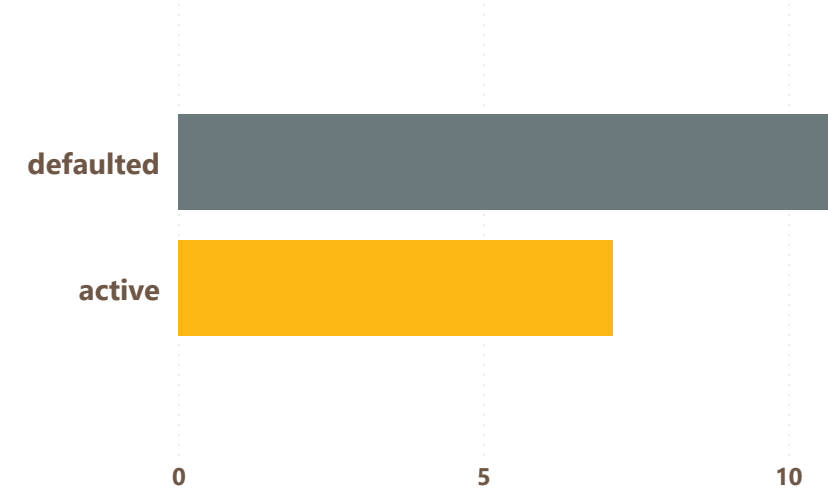


WHO FAILS?

LOAN STATUS BY EMPLOYMENT GROUP



AVERAGE INTREST RATE BY LOAN STATUS

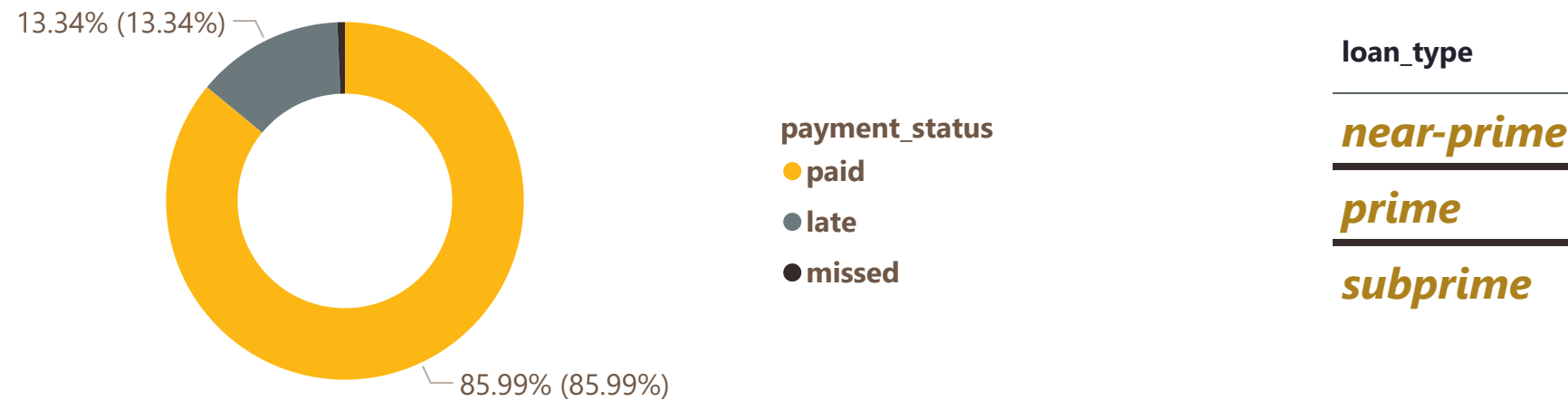


Unemployed borrowers account for the largest concentration of defaults, suggesting employment status is a major RISK FACTOR.

Defaulted loans carried higher average interest rates, indicating that lender recognized ELEVATED BORRROWER RISK before origination

PAYMENT CRACKS

PAYMENT BEHAVIOUR by LOAN TYPE



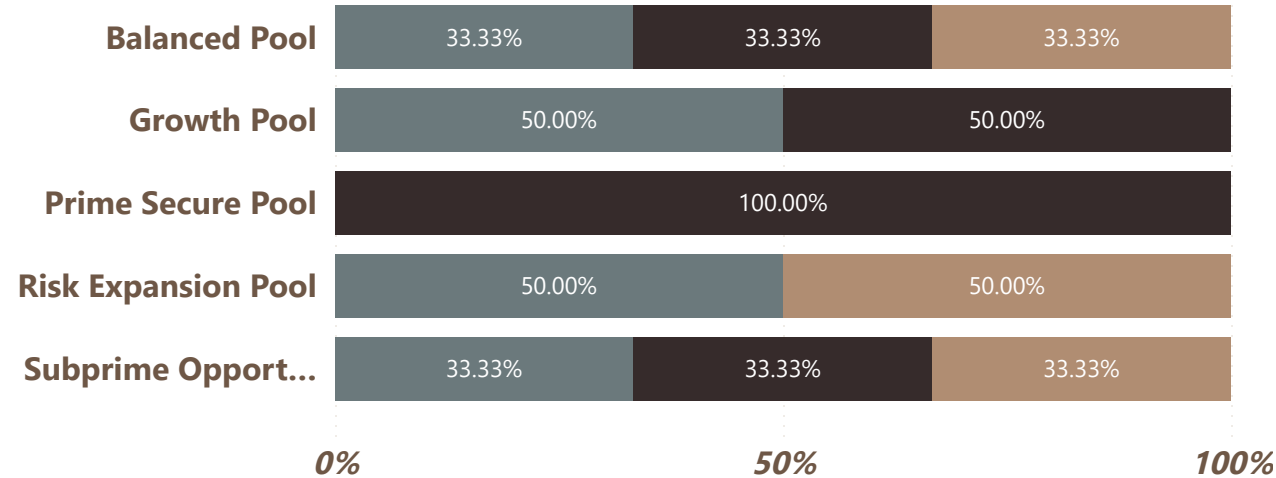
***FAILURE BEGINS BEFORE
DEFAULT***

***Surface behavior looked healthy
while defaults accumulated
UNDERNEATH***

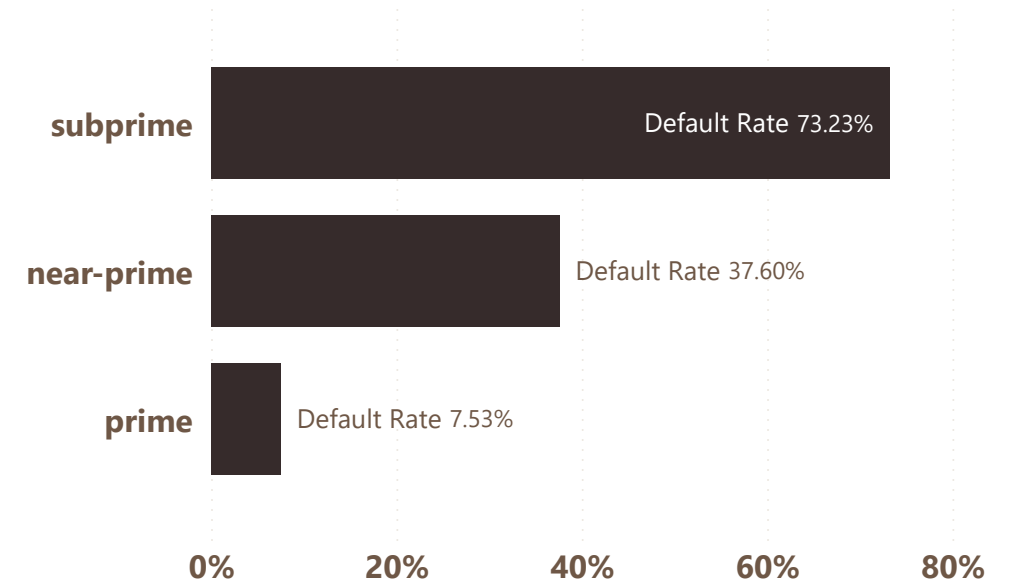
TOXIC POOLS

POOL COMPOSITION

loan_type ● near-prime ● prime ● subprime



DEFAULT RATE BY LOAN TYPE



LOAN TYPE BY POOL NAME

353

ANALYST OBSERVATION

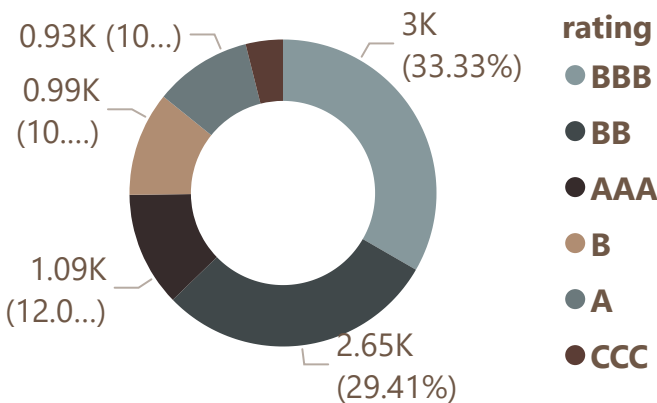
Despite its name, Balanced Pool exhibited one of the highest default concentrations. Pool labels alone may not accurately reflect underlying risk.

How Risk Gets Repackaged

RATING to DEFAULT EXPOSURE

loan_type	near-prime		prime		subprime		Total	
rating	First risk_level	Count of risk_level	First risk_level	Count of risk_level	First risk_level	Count of risk_level	First risk_level	Count of risk_level
BBB	high	484	high	850	high	1666	high	3000
BB	high	463	high	785	high	1399	high	2647
AAA	low	350	low	736			low	1086
B	high	65	high	65	high	859	high	989
A	medium	69	medium	49	medium	807	medium	925
CCC	very_high	21	very_high	65	very_high	267	very_high	353

RATING DISTRIBUTION

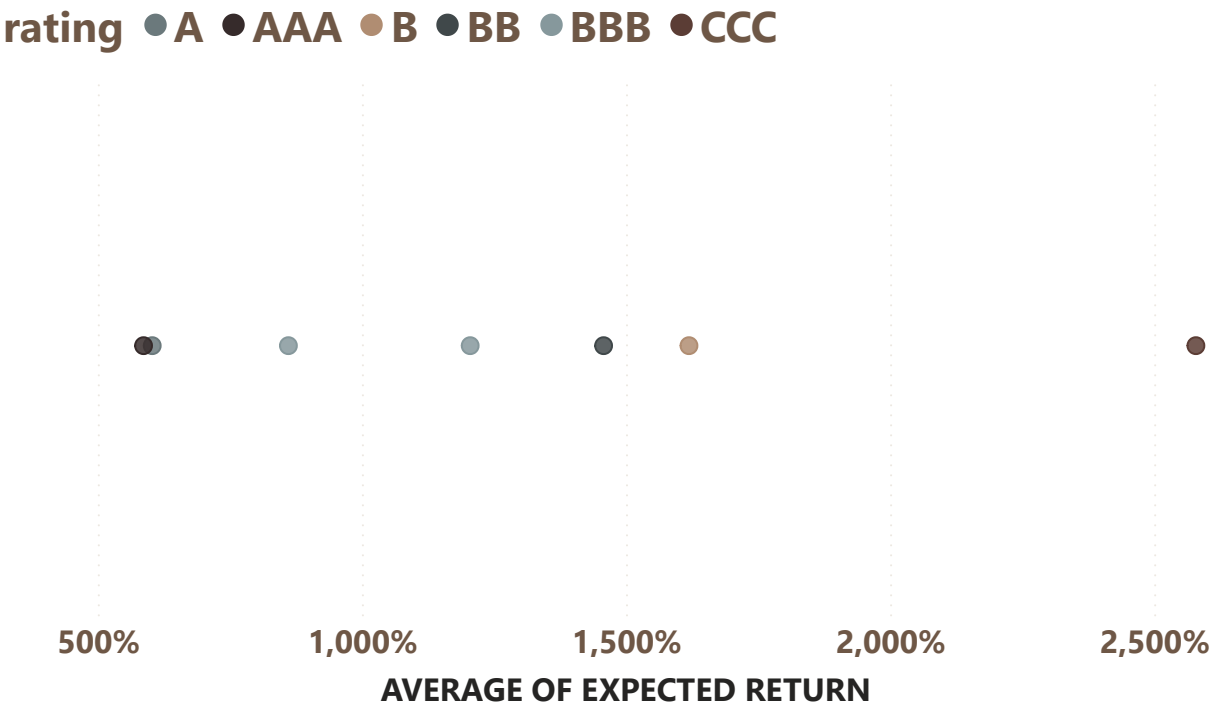


AAA TRANCHES CREATED

2

AAA_Tranches

TRANCHE RISK to RETURN



KEY FINDINGS

AAA-RATED TRANCHES Showed little to no direct exposure to subprime loans. Risk was successfully redistributed into lower-rated securities such as BB,B, and CCC tranches. The analysis demonstrates how SECURITIZATION can concentrate risk rather than

This project simulate the lifecycle of SECURITIZED LENDING; from borrower origination to loan pooling and tranche creation.

Using SQL and POWER BI, I analyzed how borrower risk propagates financial products and how securitization redistributes that risk across investment tranches.

The results show that while ratings and tranche structures can reorganize risk, they do not remove it fom the system.

Risk can change form. It does not disappear.